Who Owns India's UPI Market?

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Summary

Using NPCI's monthly app-wise statistics from June 2020 to September 2026, I built a Power BI dashboard to track how UPI has grown and how the market is split between payment apps. UPI volume grew about 18 times over the period, and two apps have handled most of it the whole time. Their dominance peaked in 2024 after the RBI action against Paytm Payments Bank, and since then newer apps have been slowly taking share back.

- Monthly transactions grew from 1.3 billion to 23.9 billion, and were up 24% year on year in September 2026.
- The average payment fell from ₹1,958 to ₹1,225 (-37%) as UPI became the default for small everyday payments.
- PhonePe (45.6%) and Google Pay (32.2%) together handled 77.8% of transactions in September 2026.
- Their combined share peaked at 86.8% in May 2024. Paytm fell from 12.7% to 7.0% during 2024.
- Navi grew from almost nothing in mid-2024 to 4.8% of volume, the fastest rise of any app.

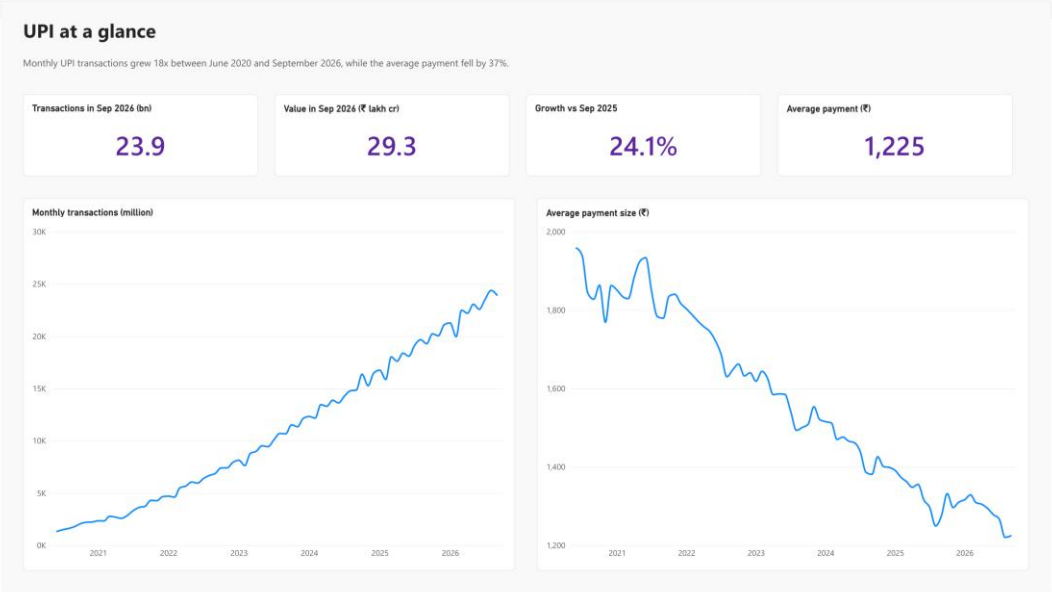
Data and approach

NPCI publishes one Excel file per month listing every UPI app with its transaction volume (millions) and value (₹ crore). I combined 76 monthly files in Power Query. The files are not consistent: the layout changed from 4 to 12 columns, some files have empty formatted columns, 12 months store numbers as text in Indian format, and app names are written 302 different ways. I wrote one Power Query function that handles all the layouts, plus a lookup table that maps the names to 141 apps.

Two gaps could not be fixed. NPCI's download links for March, May and June 2026 return an error, so those months were taken from the table on NPCI's website. For PhonePe and Google Pay in February and March 2022, the value figures are corrupted (shown as ########) both in the files and on the website. Volume is complete, so all market share figures use volume, and value-based measures are left blank for those two months.

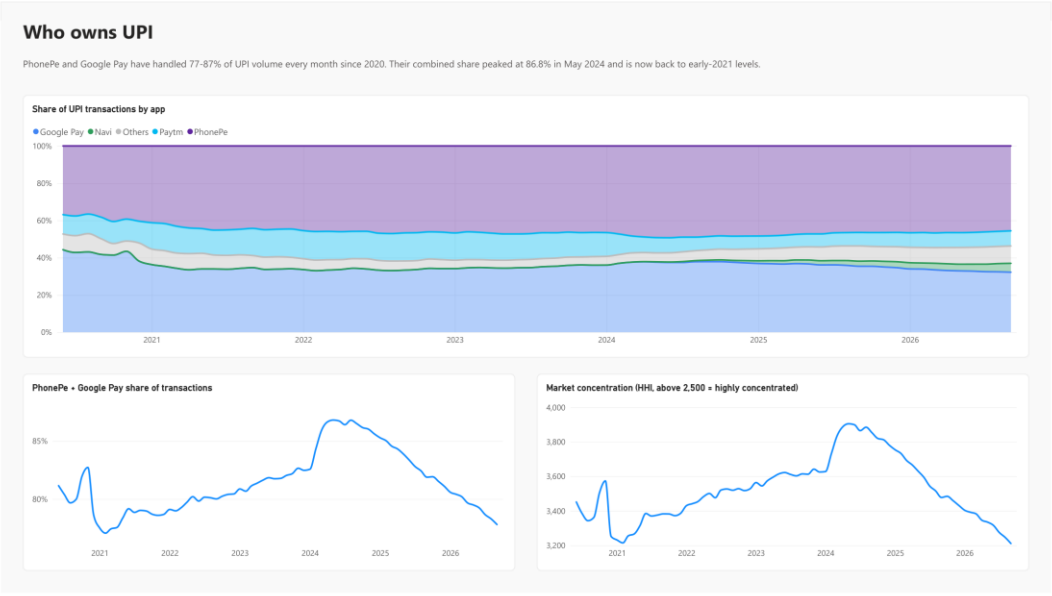
Findings

1. Growth and smaller payments



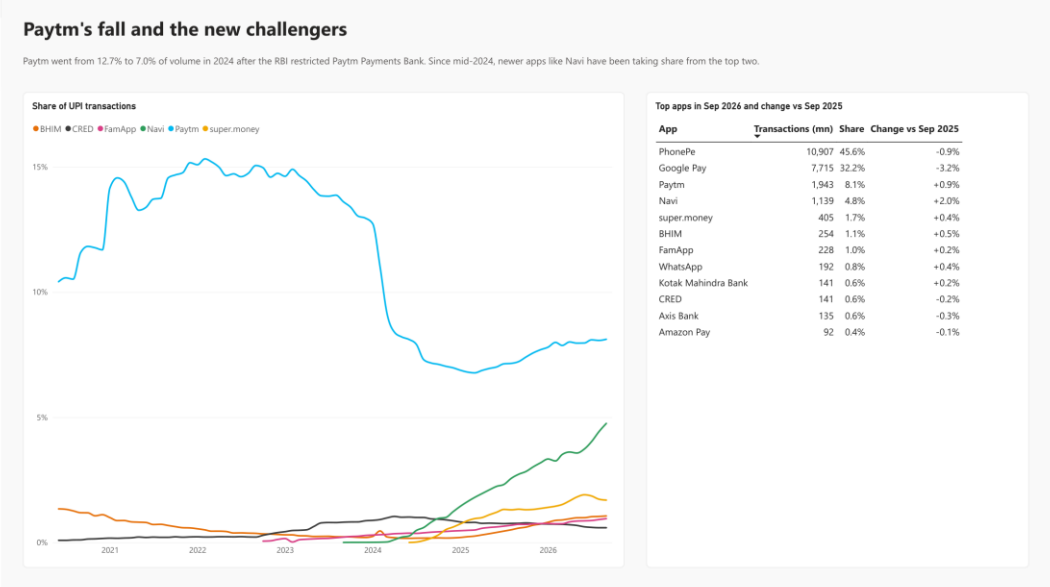
Volume has grown almost every month. At the same time, the value of an average payment has dropped steadily, from ₹1,958 to ₹1,225. More transactions at lower values suggests UPI is now used for small everyday purchases, not just transfers and bills.

2. A two-app market



Google Pay led in mid-2020, but PhonePe overtook it in December 2020 and has stayed ahead since. Between them they have never had less than 77% of transactions. Market concentration, measured by the HHI, has stayed above 3,200 throughout. Above 2,500 is normally treated as highly concentrated.

3. Paytm's fall and who gained



Paytm had been the clear number three, peaking above 15% in 2022. After the RBI restricted Paytm Payments Bank in January 2024, its share fell to 7.0% by December 2024. Most of that went to PhonePe and Google Pay, whose combined share hit 86.8% in May 2024 and pushed the HHI to about 3,900.

Since then the trend has reversed. The top two are back to 77.8%, close to early-2021 levels, and the HHI is down to 3,211, the lowest in the data. Newer apps took most of that share. Navi gained 2 percentage points in the last 12 months alone.

App	Transactions, Sep 2026 (mn)	Share	Change vs Sep 2025
PhonePe	10,907	45.6%	-0.9 pts
Google Pay	7,715	32.2%	-3.2 pts
Paytm	1,943	8.1%	+0.9 pts
Navi	1,139	4.8%	+2.0 pts
super.money	405	1.7%	+0.4 pts
BHIM	254	1.1%	+0.5 pts

Banks' own UPI apps carry only about 3% of volume. Even the largest banks' apps (Kotak, Axis) each have well under 1%.

What this means

- For a new UPI app, the opening is real but narrow. Navi shows that share can be won, but the top two still handle more than three out of every four payments.
- Concentration risk is falling but still high. An outage at either PhonePe or Google Pay would affect most UPI users.
- For banks, UPI is mostly infrastructure rather than a customer-facing product. Their apps barely register by volume.

Limitations

The data only covers volume and value by app. It says nothing about users, merchants or how many people use more than one app. Value for PhonePe and Google Pay is missing for February and March 2022, and three 2026 months come from NPCI's website table rather than its Excel files.